HANGS Construction · October 2026 Financial Reporting Package

HANGS Construction Services LLC · Month ended October 31, 2026 · FY2027 began July 1, 2026 · Prepared November 9, 2026. DRAFT from the Accounting Machine, built on the draft adjusted trial balance of the October close, whose proposed entries are not yet posted. Unsigned and unsent. Invented demonstration data.

Management Summary

October contract revenue was **$812,400.00** from two milestone billings, against a budget of $1,215,000.00: Site 22's final milestone billing moved to November. Gross margin held at 20.0%. Net income for October was **$14,592.21** against a budget of $134,660.00; for the year to date it is **$167,155.54** against $245,440.00. The close's proposed entries reduced income by $33,843.22.

Cash and restricted cash rose $616,799.17 in October to $1,216,006.01: $500,099.17 from operations, a $240,000.00 construction loan draw, and $111,300.00 spent on equipment and site office units. Unrestricted cash is $1,029,606.01.

All three lender covenants are met. The leverage ratio is **1.43 to 1.00** against a maximum of 1.50 to 1.00: headroom of 4.5% is under the 10% warning level, so it is flagged for the Controller before the compliance certificate. 4 items need a person before release; nothing has been posted or sent.

Income Statement

	October	Budget	Variance	Year to Date	Budget	Variance
Contract revenue	$812,400.00	$1,215,000.00	($402,600.00)	$3,108,650.00	$3,240,000.00	($131,350.00)
Cost of contract revenue	$649,920.00	$960,000.00	($310,080.00)	$2,486,920.00	$2,560,000.00	($73,080.00)
Gross profit	**$162,480.00**	**$255,000.00**	**($92,520.00)**	**$621,730.00**	**$680,000.00**	**($58,270.00)**
Operating expenses	$146,646.91	$119,090.00	$27,556.91	$449,650.13	$429,560.00	$20,090.13
Operating income	**$15,833.09**	**$135,910.00**	**($120,076.91)**	**$172,079.87**	**$250,440.00**	**($78,360.13)**
Interest income	$212.47	$200.00	$12.47	$842.19	$800.00	$42.19
Interest expense	$1,453.35	$1,450.00	$3.35	$5,766.52	$5,800.00	($33.48)
Net income	**$14,592.21**	**$134,660.00**	**($120,067.79)**	**$167,155.54**	**$245,440.00**	**($78,284.46)**

Balance Sheet

	October 31, 2026	September 30, 2026
Current assets		
Cash and cash equivalents	$1,029,606.01	$412,806.84
Restricted cash, restricted retainage	$186,400.00	$186,400.00
Construction in progress	$6,890,445.50	$7,068,891.54
Prepaid expenses	$78,600.00	$93,600.00
Due from affiliate	$58,250.00	$46,250.00
Total current assets	**$8,243,301.51**	**$7,807,948.38**
Property and equipment, at cost	$330,900.00	$219,600.00
Accumulated depreciation	($105,952.15)	($101,420.00)
Property and equipment, net	**$224,947.85**	**$118,180.00**
Total assets	**$8,468,249.36**	**$7,926,128.38**
Current liabilities		
Accounts payable	$612,480.36	$364,480.36
Accrued liabilities	$67,241.17	$52,712.40
Customer deposits	$185,000.00	$160,000.00
Current portion of long-term debt	$62,000.00	$62,000.00
Total current liabilities	**$926,721.53**	**$639,192.76**
Construction loan payable	$3,840,000.00	$3,600,000.00
Equipment loan payable, less current portion	$186,000.00	$186,000.00
Total long-term liabilities	**$4,026,000.00**	**$3,786,000.00**
Total liabilities	**$4,952,721.53**	**$4,425,192.76**
Shareholders' equity		
Shareholders' equity, contributed and retained	$3,348,372.29	$3,348,372.29
Net income, year to date	$167,155.54	$152,563.33
Total shareholders' equity	**$3,515,527.83**	**$3,500,935.62**
Total liabilities and shareholders' equity	**$8,468,249.36**	**$7,926,128.38**

The current portion of long-term debt is RC-01, a presentation reclassification of the equipment note (REPORT-4); see Open Items.

Cash Flow Summary · October 2026

	October 2026
Net income	$14,592.21
Depreciation	$4,532.15
Change in construction in progress	$178,446.04
Change in prepaid expenses	$15,000.00
Change in accounts payable	$248,000.00
Change in accrued liabilities	$14,528.77
Change in customer deposits	$25,000.00
Net cash from operating activities	**$500,099.17**
Purchases of property and equipment	($111,300.00)
Advances to affiliate	($12,000.00)
Net cash from investing activities	**($123,300.00)**
Construction loan draws	$240,000.00
Equipment loan principal	$0.00
Common stock and retained earnings, less dividends	$0.00
Net cash from financing activities	**$240,000.00**
Net change in cash and restricted cash	**$616,799.17**
Cash and restricted cash, September 30	$599,206.84
Cash and restricted cash, October 31	**$1,216,006.01**

Budget vs Actual · Variances Over the Threshold

REPORT-3: every variance of more than $5,000 and more than 10% of budget needs the line owner's written explanation. Natural signs; F is favorable, U unfavorable.

Account	Period	Actual	Budget	Variance	Explanation
4000 Contract Revenue	October	$812,400.00	$1,215,000.00	($402,600.00) U	Site 22's final milestone billing moved to November 6 when the customer's lender extended its draw approval. The customer's deposit was received October 31. (Project manager)
5000 Cost of Contract Revenue	October	$649,920.00	$960,000.00	($310,080.00) F	Follows Site 22's final milestone billing moving to November. (Controller)
6100 Equipment Rental	October	$20,080.00	$6,000.00	$14,080.00 U	Compact track loader rented for the Larkfield storm repairs after the October 18 storm (AER-7731). Not in the budget. (Field operations manager)
6300 Repairs & Maintenance	October	$14,385.06	$6,000.00	$8,385.06 U	**No explanation on file. Explanation needed.**
6600 Office & Computer Equipment	October	$19,808.12	$2,000.00	$17,808.12 U	Replacement laptops and a large-format plotter for the Larkfield site office (NOS-5521). One-time; approved by the Controller September 29. (Office manager)
6600 Office & Computer Equipment	Year to date	$24,811.92	$8,000.00	$16,811.92 U	Replacement laptops and a large-format plotter for the Larkfield site office (NOS-5521). One-time; approved by the Controller September 29. (Office manager)
6900 Sales Commissions	October	$24,372.00	$36,450.00	($12,078.00) F	Commission follows Site 22's final milestone billing moving to November. (Business development manager)

Also noted by line owners, below the threshold: 6750 Insurance Expense: September's duplicate amortization is reversed in October (close entry AJ-01). Below the threshold; noted for the reader.

Job Cost and Job Budgets

Job	Costs Added, Adjusted	Budget, July to October	Variance	Balance October 31
27-04 Brookstone Commerce Park, Sites 1-16	$402,615.40	$425,000.00	($22,384.60)	$1,612,330.25
27-05 Larkfield Commerce Park, Sites 17-32	$2,036,642.50	$1,950,000.00	$86,642.50	$5,191,575.25
27-07 Granite Point Business Park	$86,540.00	No budget line		$86,540.00
Total, agrees with GL 1400				**$6,890,445.50**

Key Ratios and Lender Covenants

Measure	Value
Gross margin, October / year to date	20.0% / 20.0%
Net margin, year to date	5.4%
Current ratio, as presented (before RC-01)	8.90 to 1.00 (9.53 to 1.00)
Working capital	$7,316,579.98
Interest-bearing debt to shareholders' equity	1.16 to 1.00
Tangible net worth (capital less due from affiliate)	$3,457,277.83

Covenant	Actual	Level	Headroom	Result
7.1 Maximum Leverage Ratio	1.43 to 1.00	1.50 to 1.00	4.5%	Met · WARNING
7.2 Minimum Tangible Net Worth	$3,457,277.83	$3,000,000.00	15.2%	Met
7.3 Minimum Liquidity	$1,029,606.01	$750,000.00	37.3%	Met

Covenants per Harrow Point Lending Construction Loan Agreement, Section 7, on its Section 1 definitions. A compliance certificate signed by the CFO is due within 30 days after the end of each month.

Open Items

Current Portion of Long-Term Debt · RE-2025-0418 · $62,000.00 · Reclassify Before Release

> *REPORT-4 Current Portion of Debt (Reporting Procedures page 2): "Present principal due within twelve months of the balance sheet date as a current liability, from the debt schedule. The reclassification is for presentation only and is not a journal entry."*

The Ridgeway Equipment Finance note was interest only through September 30, 2026. Its first principal installment is due December 31, 2026, and 4 installments of $15,500.00 fall due by October 31, 2027. Under REPORT-4, RC-01 presents $62,000.00 as the current portion of long-term debt and $186,000.00 as long-term. It is a presentation reclassification, not a journal entry. The September comparative is presented the same way ($62,000.00); the September package showed the note as long-term only. The Harrow Point Lending construction loan has no principal due before June 30, 2028.

Follow-up: Confirm RC-01 and present the current portion in the October package (Controller). Status: Open.

Variance Without an Explanation · 6300 October · $8,385.06 · Explanation Needed

> *REPORT-3 Budget Variances (Reporting Procedures page 2): "Compare each income statement account with the approved budget for the month and the year to date. Every variance that is more than $5,000 and more than 10% of the budgeted amount needs a written explanation from the line owner before the package is released."*

October actual $14,385.06 against a budget of $6,000.00. Under REPORT-3 a variance of more than $5,000 and more than 10% needs the line owner's written explanation before release. The explanations file has 6 lines; none is for 6300. 6 of the 7 variances over the threshold are explained. The package keeps this line marked Explanation Needed until one is added.

Follow-up: Get the October variance explanation for 6300 Repairs & Maintenance (Field operations manager). Status: Open.

New Job Without a Budget Line · Job 27-07 · $86,540.00 · Budget Line Needed

> *REPORT-5 Jobs and Job Budgets (Reporting Procedures page 3): “Job cost must agree with Construction in Progress after the close entries. Every job with cost in the year must have an approved budget line; a job without one is reported to the Controller.”*

The job cost report lists job 27-07 (Started October 12, 2026) with $86,540.00 of cost added. The approved FY2027 budget has job budget lines for 27-04, 27-05 only, so this job's spending cannot be measured against anything. Job cost still ties to GL 1400 at $6,890,445.50. Under REPORT-5 the job is reported to the Controller; an approved budget line is needed before November's package.

Follow-up: Add an approved FY2027 budget line for job 27-07 Granite Point Business Park (Controller). Status: Open.

Covenant Headroom Under 10% · Section 7.1 · $155,463.48 · Covenant Warning

> *REPORT-6 Lender Covenants (Reporting Procedures page 3): “Compute each financial covenant from the statements, on the lender's definitions. Report the headroom of each; when headroom is less than 10% of the covenant level, warn the Controller before anything goes to the lender.”*

Total liabilities $4,952,721.53 over tangible net worth $3,457,277.83, which is shareholders' equity $3,515,527.83 less the $58,250.00 due from HANGS Property Holdings LLC, as the lender defines it. At these liabilities the covenant needs tangible net worth of $3,301,814.35, so net worth could fall by only $155,463.48 before it is breached. Headroom of 4.5% is under REPORT-6's 10%, so the Controller is warned before the compliance certificate goes to Harrow Point Lending. The covenant is met; nothing is sent.

Follow-up: Review covenant 7.1 headroom before the compliance certificate is signed (Controller). Status: Open.

Review and Release

This package is a draft. The Controller reviews it, the open items and the covenant calculations, and only the Controller releases the package or signs a compliance certificate (REPORT-7). Nothing has been posted, and nothing has been sent to the shareholders or the lender.

Prepared by: Accounting Machine (draft, unsigned)
Reviewed and released by: _____ Controller · Date: _____